
SM131 - "The Role of Investors"

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August 2, 2024 (v 6.0)

Key Points:

- **Investors** are vital to businesses. They provide the capital needed to start up, grow, and maintain firms.
 - Investors expect a **return** on their invested capital -- principal plus some return in excess that is commensurate with the risk inherent in the investment.
 - There are many ways to invest. They can broadly be classified into **equity** (shares of stock) and **debt** (loans, bonds, notes etc.)
 - Investor returns will depend on **future** performance and prospects of the firm, which are inherently risky.
 - In publicly held companies with a large shareholder base, investors have limited information about the firm and have little direct control over the actions of managers
 - This separation of ownership (by investors) and control (by managers) means that business management is subject to the **principal-agent problem**, which arises when one or more principals (in this case, the investors) engage one or more agents (in this case, the managers) to undertake an activity (in this case, company management) on their behalf and when (a) the principals and agents have different incentives and (b) principals have imperfect information about the most optimal actions that agents could pursue and/or the actual actions that agents pursue
 - Investors act through their representatives in the Board of Directors (equity holders) and covenants included as part of the investment contract (debt holders).
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I. Introduction to Investors

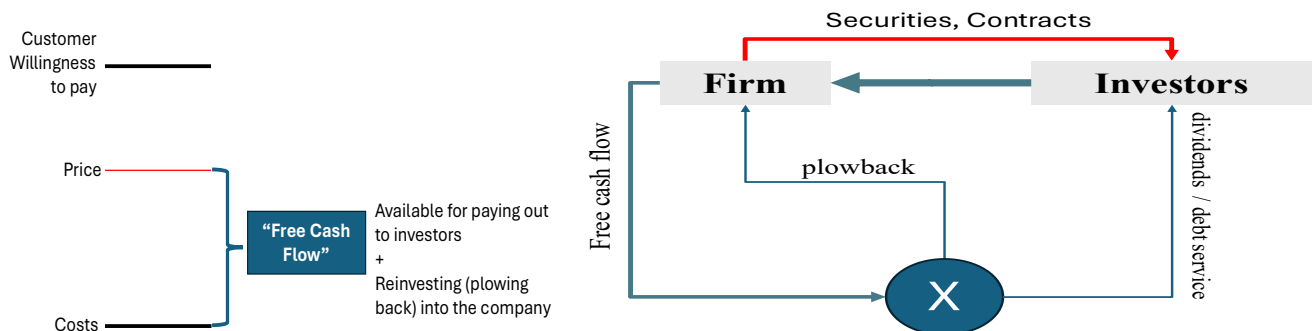
During the previous weeks, we have explored how businesses create value by innovating, producing, and delivering products or services that people desire, at prices lower than their willingness to pay. Successful firms capture value by produce these goods or services at costs—including payments to suppliers and distributors, wages to employees, and taxes to the government—that are lower than the sale prices. Ability to earn a profit is a testament to the firm's efficiency and ability to meet market demands effectively and its ability to capture value. This week, our focus shifts to understanding how the value captured by the firm is distributed among the various stakeholders of the firm.

To address this topic, we must recognize that a crucial stakeholder that has been notably absent from our discussions thus far: the investors. Investors provide the essential capital needed for a company's startup, expansion, innovation, and ongoing operations. This capital enables firms to conduct R&D, develop new products, acquire plant and equipment, enter new markets, and a host of other activities ahead of realizing revenues. Capital provided by investors is necessary for businesses to take risks, explore new opportunities, and sustain their operations through economic cycles.

Investors have two primary ways to invest: **equity and debt**. The choice between these investment vehicles depends on several factors including whether a firm is privately or publicly owned, whether it is a start-up or mature, and the industry in which it operates. Each carries its own set of expectations and obligations. Equity investors, for instance, become partial owners of the company and expect to share in the firm's residual profits through dividends and/or stock price appreciation. Debt investors, meanwhile, provide loans to the company and expect interest payments along with the return of their principal. We will elaborate on each below.

Once all bills, including taxes and contracted payments to lenders are paid, a firm has the choice of returning any remaining (free) cash flow to shareholders ([Dividends](#)) or reinvesting in the business

(Retained Earnings), which they should only do if there are opportunities to achieve returns that exceed those that investors could otherwise find in financial markets. By understanding the critical role of investors, we can appreciate the complex dynamics of profit distribution and its impact on the overall success and sustainability of a business.



Investors must scrutinize *forward-looking* indicators such as projected revenues, earnings growth, and operational efficiency. They examine industry trends, market conditions, and the firm's competitive position to forecast future performance. Despite these disclosures, **information asymmetry** remains a challenge, as management often has more timely and detailed information than investors. **Information asymmetry** is a substantial problem in many business contexts, including investing. This refers to the idea that the relevant information to address a problem differs among the potential parties to a transaction. In the case of managers and investors, information asymmetry arises because managers' daily exposure to business operations and competition means that they typically know much more about the potential returns to various business actions than do the investors. Managers could potentially leverage their "better" information to engage in actions that are good for managers (e.g., "we need a corporate jet" or "we need to distribute employment bonuses to retain managers" or "we need to make an acquisition to diversify our earnings"), though they might not be good for investors (i.e., they might actually reduce long-term profitability or take on risks that are greater than investors would like). Thus, investors must balance available data with their own analyses and insights to make investment decisions that align with their financial goals and risk tolerance.

Questions for Reflection:

Q1: Why do companies need to raise capital from outside investors?

Q2: What are the two main methods to raise capital?

II. Book Values and Market Values

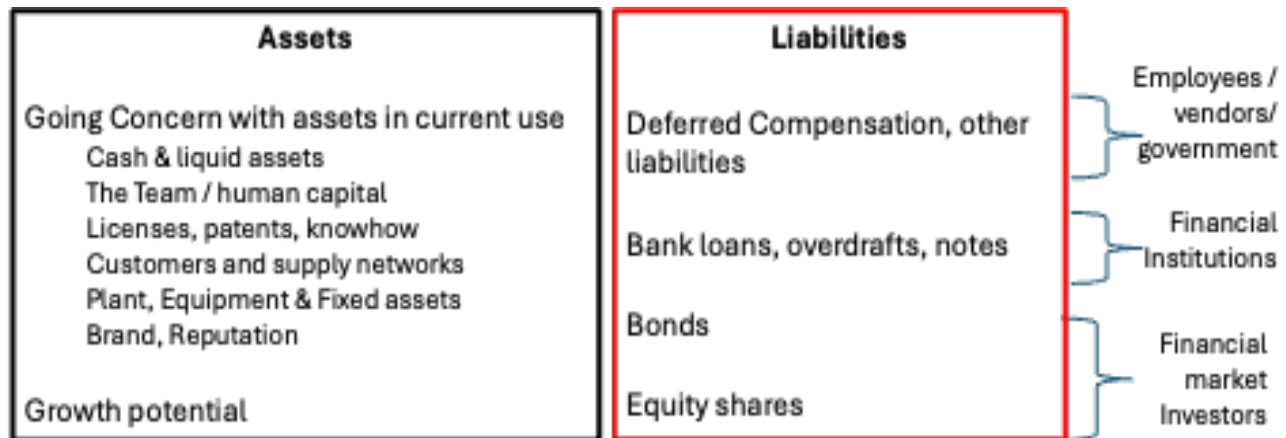
Book value is derived from the accounting records of a company and is based on historical costs and current financial information, which is reported in a standardized manner. In contrast, **market value** reflects what investors are willing to pay for the equity and debt and depends on the anticipated future performance of the company.

The market value of a firm is determined by its ability to generate future cash flows rather than merely by adding the values of its individual assets. This valuation considers the firm as a "going concern" where the combined utilization of various tangible and intangible assets plays a crucial role in its overall

worth.¹ These assets include plant and equipment, which are the physical resources used in production, and intellectual property and trade secrets, which provide proprietary technologies and competitive advantages. The firm's market power, or its ability to influence market prices and conditions, also contributes significantly to its value. Additionally, the expertise and experience of the firm's workforce, often referred to as know-how, are critical in maintaining and enhancing operational efficiency.

Employees are a key asset, as their skill and productivity drive the firm's performance. Strong customer relationships foster loyalty and repeat business, enhancing revenue stability. Brand loyalty reflects the trust and preference customers have for the firm's products, often resulting in a premium market position. Supplier relationships ensure favorable terms and reliable inputs, which are essential for smooth operations. Effective distribution channels allow the firm to efficiently deliver products to the market, expanding its reach and customer base.

All these elements synergize to enable the firm to sustain and grow its operations, thereby generating future cash flows that investors anticipate. This forward-looking perspective drives the market value, reflecting investor confidence in the firm's ongoing profitability and growth potential. Hence, the market value of a firm encompasses much more than the sum of its individual assets; it embodies the holistic potential of the firm to leverage its resources and capabilities to create future economic benefits.



For example, as of December 31, 2023, Tesla's balance sheet shows total assets valued at \$106 billion and common stock equity of \$62.6 billion. At the same time, its market capitalization (the value of all Tesla shares) was approximately \$800 billion. In other words, investors in Tesla stock were willing to pay more than 12 times what its balance sheet reports to acquire shares of Tesla.

This discrepancy highlights how market value can far exceed book value due to investor expectations of future growth, profitability, and other market factors that are not captured in the book value. The market value represents the collective sentiment of investors regarding Tesla's potential, whereas the book value is a more static measure of its net asset value based on historical data.

Questions for Reflection:

Q1: Why is Tesla's market capitalization higher than its book value of equity?

Q2: Is it possible for a firm's market capitalization to be lower than its book value?

¹ A "going concern" is used in accounting and finance to reflect a business that is financially viable and operate indefinitely. In contrast a company in bankruptcy is **not** a going concern and its assets will be valued based on the liquidation proceeds or reorganized value.

III. Debt vs Equity

III.1. Debt investors

Debt investors essentially lend money to firms in exchange for interest payments and the return of principal at some future date. A debt contract, whether it is a loan or a bond, clearly specifies repayment schedule and other terms (covenants) that stipulate the rights conferred to lenders in case the firm is unable to make debt payments and control over management decisions that would affect debt repayment.

Debt holders receive prespecified interest payments, which provide them with a steady income stream and reduce their exposure to the company's profitability fluctuations. They have a higher preference claim on a company's assets and income compared to equity investors. This means that interest payments to debt investors are typically made before any dividends are distributed to equity shareholders. In the event of bankruptcy or liquidation, debt investors are prioritized over equity holders, ensuring they are repaid from the company's assets before any residual is allocated to shareholders. In other words, debt is usually secured by the company's assets, giving a greater assurance of repayment. However, the lower risk associated with debt investments comes with lower potential returns. While equity investors might see substantial gains during profitable periods, debt returns are capped at the agreed interest rate and the repayment of principal, making debt more stable. As a result, debt is less risky than equity investment. Bond rating agencies such as S&P, Fitch, and Moody's make assessments about a firm's likelihood of encountering financial distress or probability of facing bankruptcy. Bond ratings reflect the ability of a firm to service the debt payments and provide debt investors with guidance regarding the risks associated with lending money to the firm and the risk premium that would compensate the investors for bearing such risks.

III.2. Equity investors

Equity investors receive a portion of the company's residual profits but, through limited liability, are protected against losses beyond their initial investment. Their up-side rewards are unlimited and are tied to the company's performance. After a company has paid all its operational costs, interest on debt, and other contracted obligations, the remaining free cash flow is available to be distributed among equity shareholders. This residual claim means that equity investors are effectively at the end of the line when it comes to profit distribution, receiving their share only after all other financial commitments have been satisfied.

This positioning of equity investors comes with both higher risk and higher potential reward. When a company is highly profitable, equity investors can benefit significantly through dividends and stock price appreciation. Conversely, during periods of poor performance or financial distress, equity investors bear the brunt of the losses, as they may receive reduced or no dividends and may see a decline in the value of their shares.

This risk-return tradeoff is a fundamental characteristic of equity investments, where the potential for substantial gains is balanced by the possibility of significant losses, reflecting the equity holders' ultimate reliance on the company's profitability and financial health. We discuss this in greater detail below.

III.3. Debt and Equity financing of Privately vs. Publicly Held Firms

The sources of debt and equity differ between privately held and publicly held firms. **Private firms** primarily raise equity through private placements (not offered to the public-at-large), venture capital, and private equity funds. These investors typically take an active role in the firm's management and strategic decisions. In terms of debt, private firms often rely on bank loans and private debt placements where lenders may demand higher interest rates and tighter covenants due to the higher risk associated with less transparent operations.

Publicly held firms, on the other hand, have access to broader capital markets. They can issue equity through initial public offerings (IPOs) and secondary offerings, tapping into a vast pool of individual and institutional investors. For debt financing, public firms can issue corporate bonds in public markets, benefiting from lower interest rates due to greater transparency, regulatory oversight, and generally higher credit ratings. This accessibility to public markets provides publicly held firms with more diverse and often cheaper financing options compared to their privately held counterparts.

Optional Videos on Debt & Equity as ways of raising capital.

If you missed watching Khan Academy videos and were interested in learning a bit more debt and equity as ways of raising capital, you may find these supplemental/optional videos useful:

- Video 1 (9:20): *Different ways to raise capital: Debt and Equity* ([link](#))
- Video 2 (13:46): *What does it mean to buy stock?* ([link](#))
- Video 3 (13:45): *Stocks and Bonds* ([link](#))

IV. What do Investors Expect in return for their capital?

When people decide to invest their money in a firm, their primary objective is to achieve a financial return on their investment that compensates for the risk they are taking. This return can come in various forms, including capital appreciation, dividends, or interest payments. Equity investors look for growth in the company's stock price and potential dividend payouts, while debt investors focus on receiving interest payments and the return of their principal at some future date (maturity of the debt).

Investors face a **risk-return tradeoff** when choosing between different investment opportunities in the financial markets. **The higher the risk they take, the higher the return they expect.** Therefore, investing in a particular firm involves assessing its risk profile and expected return when compared to other available investment choices. Investors must decide whether the expected returns justify the risks involved.²

The core of their evaluation lies in the company's ability to generate consistent and growing profits, which directly impacts the value of their investment. Evaluating the future performance of a firm is a critical aspect of investment decision-making. Investors analyze financial statements, market conditions, industry trends, and the firm's competitive position to forecast future earnings and cash flows. They assess past performance but place significant emphasis on forward-looking indicators such as projected revenues, earnings growth, and operational efficiency. Understanding the company's strategic plans, including new product launches, market expansions, and cost-cutting initiatives, helps investors gauge the firm's potential to succeed and sustain profitability over time.

Some Investors may care about more than financial returns!

While financial considerations such as risk and return are paramount in investment decisions, some investors also consider non-financial factors. This approach is exemplified by the Environmental, Social, and Governance (ESG) movement, which emphasizes sustainable and ethical investing. Investors who prioritize ESG factors seek to support companies that are environmentally responsible, socially conscious, and governed by transparent and ethical practices. This trend reflects a broader recognition that long-term value is not solely derived from financial performance but also from a company's impact on society and the environment.

Hart and Zingales (2017) highlight the growing importance of such considerations in their work. They argue that traditional financial theories, which focus solely on maximizing shareholder value, are insufficient in capturing the full spectrum of investor preferences. Instead, they propose that investors also care about the social impact of their investments and are willing to sacrifice some financial returns to support their ethical beliefs. This perspective has significant implications for corporate behavior, as companies may increasingly be held accountable for their ESG performance by a broader base of conscientious investors.

² In subsequent finance courses you will learn how investors can make this risk versus return tradeoff and compare investment potential across asset classes.

As we learned in Week 1, a firm's performance depends on the economic environment, regulatory policies, and market sentiment when making investment decisions. Economic indicators such as interest rates, inflation, and employment rates can impact the firm's performance and the overall investment climate. Regulatory changes can affect operational costs, market access, and profitability. Market sentiment, driven by news, trends, and investor perceptions, can influence stock prices and investment attractiveness. By integrating all these factors—financial performance, risk-return tradeoffs, governance structure, and external environment—**investors aim to make informed decisions that maximize their potential returns while managing their risk exposure effectively.**

V. Governance and the Principal-Agent Problem

V.1. An overview of the P-A Problem

The relationship between investors (principals) and company management (agents) is central to corporate governance. Investors entrust management with their capital, expecting them to act in the best interest of the shareholders. However, this dynamic can give rise to the **principal-agent problem (P-A Problem)**, where the interests and incentives of management may not always align with those of the investors.

The P-A Problem is evident in issues associated with investors and managers, but it is a general problem that affects business activity. The Freakonomics video (attached below) highlights the P-A Problem in the context of real estate agents and home sellers. The problem arises anytime that one or more principals engage one or more agents to undertake an activity on their behalf when (a) the principals and agents have different incentives and (b) principals have imperfect information about the most optimal actions that agents could pursue and/or the actual actions that agents pursue. The facts that there is an information asymmetry between the principal and the agent, that agents typically know more than principals about what the right activities are, and that principals cannot perfectly observe what agents are doing, leaves lots of room for agents to engage in activities that benefit them but not principals. What makes this problem worse is that, even if agents were acting in ways that were perfectly consistent with principals' interests, the imperfect information problem means that they would not be able to convince principals 100% that they were doing the right things. The differences in incentives, information, and monitoring problems means that (a) a perfect solution and (b) perfect trust are nearly impossible to achieve. The problem does not exist if the principal does the task for herself – because there would be no divergence of interests or information between the principal and the agent, i.e., there would be no agent!). Principals can, in theory, continue to raise incentives for agents to behave in ways that are consistent with principals' interests, but the only way to give agents sufficiently high incentives is if principals give away all of the opportunities that they could possess to benefit from hiring the agent in the first place. Otherwise, however, we have to simply acknowledge that the best solutions to the P-A Problem are what economists refer to as “second best” solutions, i.e., the most feasible solutions that cannot fully overcome the problem.

Some other examples of the P-A Problem arise when you see a dentist (how do their incentives and information sets differ from yours?), when you take your car to be fixed, when companies hire accountants and consultants, and when societies elect or appoint public officials.

Please watch this short video from *Freakonomics* ([link here](#)) in which the authors, Steven Levitt and Stephen Dubner, explain the P-A problem arising in the context of real estate agents and home sellers.

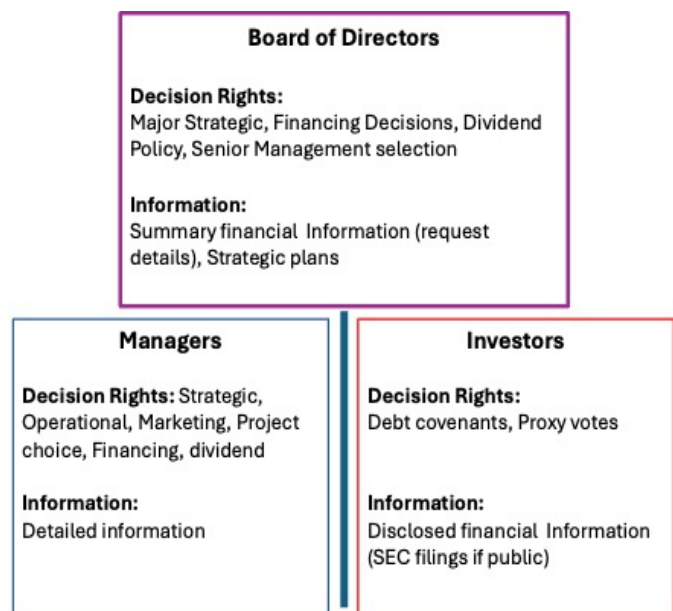


V.2. Corporate governance and incentives as approaches to addressing the Principal-Agent Problem between investors and managers

How can investors set up firms to minimize their exposure to the principal-Agent Problem? **Control rights** and the **structure of managerial incentives** play key roles in addressing this issue. Equity investors, particularly those with substantial shares, can influence corporate policies and decisions through voting rights. They vote on key issues such as the election of board members, mergers and acquisitions, and major corporate strategies during annual general meetings. The board of directors, elected by shareholders, acts as a key governance mechanism, overseeing management and ensuring that the company's strategic direction aligns with shareholder interests. Debt investors, while not typically involved in day-to-day management, can exert control through covenants in loan agreements, which impose certain operational and financial restrictions on the firm to protect their investments.

Another factor contributing to this issue is **information asymmetry**, where management typically has more detailed and timely knowledge about the company's operations and future prospects than the investors. This imbalance can lead to **moral hazard**, where managers might engage in risky or self-serving behaviors that are not in the best interest of shareholders, knowing that investors do not have full visibility into their actions. **Adverse selection** can also occur, where investors might misjudge the value or risk profile of a company due to incomplete or inaccurate information, leading to suboptimal investment decisions. **Performance misreporting** is another risk, where management might present an overly optimistic view of the company's performance to inflate stock prices or achieve performance targets linked to their compensation.

Due to problems arising from the separation of managers and owners, the governance structure is crucial to investors. Effective corporate governance ensures that the company is managed in the best interests of its shareholders. Investors look for a well-composed board of directors that includes a mix of independent and inside directors, bringing diverse perspectives and expertise. Independent directors, who are not part of the company's management, provide unbiased oversight and decision-making. Transparency, ethical practices, and accountability are hallmarks of good governance, which help build investor confidence and ensure that management's actions align with shareholder interests. Performance-based compensation for executives can also align management's incentives with the long-term goals of the investors.



The **Board of Directors** plays a crucial role in mitigating these issues by acting as a bridge between shareholders and management. The board's primary responsibilities include monitoring the company's performance, financial health, and risk management practices to ensure that management is acting in the best interests of shareholders. They provide strategic guidance and approve major decisions, such as mergers and acquisitions, capital investments, and significant operational changes. By selecting, evaluating, and, if necessary, replacing the CEO and other top executives, the board ensures that capable and effective leadership is in place. Setting executive compensation to align management's incentives with shareholder interests, often tying pay to performance metrics that reflect long-term value creation, is another key function of the board.

Independent directors, who are not part of the company's management, play a crucial role in unbiased oversight and decision-making. Effective governance mechanisms, such as a strong and independent board of directors, performance-based compensation, and transparent reporting practices, help ensure that management's actions are aligned with investor expectations, thereby fostering trust and maximizing shareholder value. Ensuring the company adheres to legal and regulatory requirements and operates with high ethical standards further strengthens this relationship, helping to mitigate the principal-agent problem and promote the long-term success of the firm.

Questions for Reflection:

Q1: What is the Principal-Agent problem?

Q2: Does a Principal-Agent problem arise in the Coffee Shop in the simulation?

Q3: In a publicly-traded firm, who are the principals and who are the agents?

Q4: Is there a principal-agent problem associated with teaching a college course?

Q5: How does the Board of Directors attempt to manage a firm's P-A Problem?

VI. The roles of Accounting and Finance in organizations and Business School Curricula

Accounting and finance are complementary but distinct areas of business operations. Business school curricula reflect these differences by offering specialized courses and training in each discipline.

Accounting focuses on the accurate recording, summarizing, and reporting of financial transactions. It deals primarily with historical data and compliance with regulatory standards to ensure transparency and integrity in financial reporting. Key decision-making roles in accounting include:

- *Chief Financial Officer (CFO)*: oversees all financial activities, ensuring accurate and compliant financial statements.
- *Controller*: manages the accounting department and the preparation of financial statements
- *Accounting Manager*: supervises daily accounting operations and ensures data accuracy
- *Cost Accountant*: analyzes production costs to control expenses and improve profitability
- *Tax Manager*: ensures tax compliance and develops strategies to minimize tax liabilities.

Business schools cover accounting through courses in financial accounting, managerial accounting, auditing, and taxation. These courses provide students with the skills needed to manage financial records, prepare financial statements, ensure compliance, and perform audits.

Finance focuses on the management of assets and liabilities, emphasizing future-oriented planning and value creation. It involves strategic decisions about investments, capital allocation, and risk management to optimize financial performance. Key decision-making roles in finance include:

- *Chief Financial Officer (CFO)*: leads financial planning, risk management, and capital allocation
- *Treasurer*: manages liquidity, investments, and financial risks
- *Investment/Portfolio Manager*: manages investment portfolios to achieve financial returns
- *Corporate Development Manager*: focuses on mergers, acquisitions, and strategic investments
- *Risk Manager*: identifies and mitigates financial risks

Finance education in business schools includes courses in corporate finance, investment analysis, financial markets, and risk management. These courses equip students with the knowledge to make informed decisions about investments, capital structure, and financial planning.

The primary distinction between accounting and finance lies in their areas of focus: Accounting emphasizes historical accuracy and compliance, while finance concentrates on strategic planning and value creation for the future. Both functions are essential for the financial health and success of an organization, each contributing uniquely to its overall financial management.

Exhibit 1: Advantages & Disadvantages of Debt (vs. Equity) Financing

Advantages of sourcing capital through Debt	Disadvantages of Debt Financing
Retains upside: The business owner retains full control over the company's decisions and future profits. Dilution: Debt financing does not dilute the owner's stake and control rights in the company, whereas issuing new shares dilutes the ownership interest of the existing owners. Predictability: Since debt obligations are fixed amounts, which can be forecasted and planned for, debt provides a level of predictability in financial planning. Tax Shield: Interest on debt can be deducted from the company's tax return, effectively lowering the actual cost of the loan. Simplicity and Issue Costs: Complying with securities laws and regulations when issuing equity can be complex and costly. Raising debt capital is less complicated because it does not require compliance with state and federal securities laws and regulations. Debt has less operational requirements as well.	Drain on Cashflow: Regardless of the company's financial situation fixed repayment obligation can strain cash flow during challenging times and increase the risk of financial distress. Equity does not require repayment. Investors provide capital in exchange for ownership stakes, and payout to equity is discretionary. Restrictive covenants: Debt covenants can limit the company's operational flexibility. These restrictions can prevent management from pursuing alternative financing options or exploring non-core business opportunities. Adds Risk: The higher the debt-equity ratio, the company becomes riskier to all investors Pledge of Collateral: Debt usually requires the firm to pledge assets as collateral, and in some cases, owners may need to personally guarantee the repayment of the loan.

Exhibit 2. Comparing Different Types of Business Organizations

Different Business Organizations			
Type	Description	Investor Objectives	Governance
Corporations	A corporation is a legal entity separate from its owners, with its own rights and obligations. It can raise capital by issuing shares of stock to investors.	Shareholders (investors) in a corporation seek to maximize their return on investment through dividends and capital appreciation. They invest in the expectation of sharing in the company's profits and growth.	Shareholders have limited liability. Management and Ownership are separated. A board of directors, elected by shareholders, oversees the management team, sets strategic goals, and ensures that the company operates in the best interests of the shareholders.
Limited Liability Company (LLC)	Hybrid business structure that combines the limited liability protection of a corporation with the tax benefits and operational flexibility of a partnership.	Investors in LLCs aim to benefit from limited liability protection while enjoying potential profits from the business. They seek to maximize returns while minimizing personal risk.	LLCs have flexible governance structures. They can be managed by members (owners) or by appointed managers. The operating agreement outlines the management structure, decision-making processes, and profit distribution. Members enjoy limited liability protection.
Partnerships	A partnership is a business owned by two or more individuals who share profits, losses, and management responsibilities.	Partners invest capital into the business with the goal of sharing profits. They seek to maximize their return on investment through active participation in the business.	Decisions are made collectively by the partners. Partnership agreement governs the distribution of profits, management roles, and methods of resolving disputes. General partners have unlimited liability. Limited partners' liability is limited to their investment.
Sole proprietorship	Owned and operated by a single individual. It is the simplest and most common form of business organization.	The owner is the sole investor and is personally responsible for all aspects of the business. The objective is to maximize personal welfare.	There is no formal governance structure in a sole proprietorship. The owner makes all decisions and has complete control over the business. This structure allows for quick decision-making but also means that the owner bears all the risks and liabilities.